All unusual transactions must be carefully enquired into.

4. Missing vouchers should be carefully noted and brought to the knowledge of the owner of the business.
5. All vouchers must be checked and passed for payment by some responsible official. Similarly any alteration in the vouchers must also be supported by a responsible official.
6. All the receipts of the day should be deposited in the bank at the end of the day or the next morning.
7. Bank reconciliation statement should be prepared frequently by the cashier to verify the bank balance with cash book and pass book. He should also examine the reasons for the difference between the bank balance as per pass book and that in the cash book.
8. All payments as far as possible, except for petty cash, should be made by cheques or online. If large amounts appear to have been paid in cash, contrary to the usual practice of the business, auditor must ascertain the circumstances in which it was considered necessary.
9. Auditor should ascertain that the vouchers have been correctly posted to the appropriate accounts and distinction has thoroughly been observed between capital and revenue expenditure.
10. Auditor should ascertain that the cashier do not sanction any payments of special nature without proper approval from the directors.

LEGAL DECISIONS

- In a case between Leeds Estate Building & Investment Co. Vs. Shepher, it was held that the auditor was liable for negligence for not verifying the true and fair view of Balance Sheet and accurate representation of affairs of the company.
- In a case between London Oil Storage Co. Ltd. Vs. Sears, Hasluck & Co., it was held that the auditor is liable for any damage sustained because of his omission to verify the existence of assets stated in the Balance Sheet of a company.

6.5 Vouching of Debit Side of Cash Book (or) Cash Receipts

Cash book is one of the most important books of accounts. The auditor has to ensure that all receipts have been accounted for. Errors and frauds usually arise in connection with cash receipts. Hence, the auditor should vouch all the cash transactions as far as possible and should ensure that all receipts have been accounted. He has to ensure that there are no omissions of cash receipts and the auditor has to rely considerably on the internal check system in operation. Some of the important cash receipts which usually appear on the debit side of the cash book and the duty of an auditor in that connection are given below:

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